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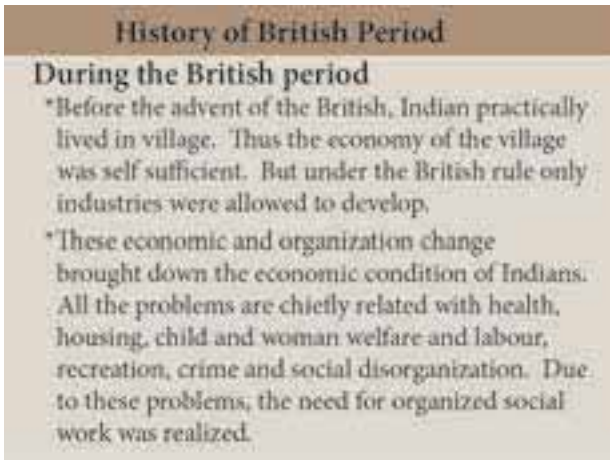
permission from **Jahangir** for setting up factories and slowly moved all parts of India.



History of British Period

During the British period

*Before the advent of the British, Indian practically lived in village. Thus the economy of the village was self sufficient. But under the British rule only industries were allowed to develop.

*These economic and organization change brought down the economic condition of Indians. All the problems are chiefly related with health, housing, child and woman welfare and labour, recreation, crime and social disorganization. Due to these problems, the need for organized social work was realized.

Hundred years after Battle of Plassey, the rule of the East India Company finally did come to an end. In 1858, British Parliament passed a law through which the power for governance of India was transferred from the East India Company (EIC) to the British crown. Even the transfer of power from the East India Company to the British Crown did not materially alter the situation.

Britain had exploited India over a period of two centuries of its colonial rule. On the basis of the form of colonial exploitation, economic historians have divided the whole period into three phases: namely the period of merchant capital, the period of industrial capital, the period of finance capital.

8.2.1 Period of Merchant Capital

- The period of merchant capital was from 1757 to 1813.
- The only aim of the East India Company was to earn profit by establishing monopoly trade in the goods with India and the East India's.
- During this period, India had been considered as the best hunting ground for capital by the East Indian company to develop industrial capitalism is Britain.
- When Bengal and South India came under political shake of the East India company in 1750s and 1760s, the objective of monopoly trade was fulfilled.
- The company administration succeeded in generating huge surpluses which were repatriated to England, and the Indian leaders linked this problem of land revenue with that of the drain.
- Above all, the officers of the company were unscrupulous and corrupt.

8.2.2 Period of Industrial Capital

- The period of Industrial capital was from 1813 to 1858.
- During this period, India had become a market for British textiles.
- India's raw materials were exported to England at low price and imported finished textile commodities to India at high price. In this way, Indians were exploited.
- India's traditional handicrafts were thrown out of gear.

8.2.3 Period of Finance Capital

- The third phase was the period of finance capital starting from the closing years of the 19th century and